

People who operate under the suitability standard are typically called “brokers,” but they also go by the name registered representative—or, on their business cards, vice president. (On Wall Street, no one ever has a title below VP.) People who adhere to the fiduciary standard are called “registered investment advisors,” or RIAs.⁴⁰⁴

Fiduciaries have a much stricter duty and legal obligation than do those who operate under suitability rules. The fiduciary standard legally obligates the registered investment advisor to act at all times for the sole benefit and interest of the client. That straightforward, cut-and-dried standard has enormous ramifications. Your financial advisor should be like your lawyer, accountant, and doctor, not like the guy trying to sell you a used car.

Why do individual investors encounter problems with the suitability standard?

1. It favors the brokerage firm and its employees over the investor.
2. It costs much more than services provided under other standards.
3. It creates an inherent conflict of interest between the advisor and the investor.

Why two standards?

The short answer is that the SEC enforces the standards for fiduciaries, but brokers, aiming to avoid more regulations, created the suitability rules to regulate themselves(!). They did this through self-regulatory organizations called the National Association of Securities Dealers (NASD) and its modern successor, the Financial Industry Regulatory Authority (FINRA).

If you want to see the worst of this, search Google for the history of client NASD arbitrations.⁴⁰⁵

Investors do not do well when a self-regulating entity decides disputes. William D. Cohan’s columns on the problems are brilliant, scorched earth criticism; the mergers and acquisitions banker turned investigative